9-3e The Protection-as-a-Bargaining-Chip Argument

Another argument for trade restrictions concerns the strategy of bargaining. Many policymakers claim to support free trade but, at the same time, argue that trade restrictions can be useful when we bargain with our trading partners. They claim that the threat of a trade restriction can help remove a trade restriction already imposed by a foreign government. For example, Isoland might threaten to impose a tariff on textiles unless Neighborland removes its tariff on wheat. If Neighborland responds to this threat by removing its tariff, the result can be freer trade.

The problem with this bargaining strategy is that the threat may not work. If it doesn't work, the country faces a choice between two bad options. It can carry out its threat and implement the trade restriction, which would reduce its own economic welfare. Or it can back down from its threat, which would cause it to lose prestige in international affairs. Faced with this choice, the country would probably wish that it had never made the threat in the first place.

Case Study:Trade Agreements and the World Trade Organization

A country can take one of two approaches to achieving free trade. It can take a *unilateral* approach and remove its trade restrictions on its own. This is the approach that Great Britain took in the 19th century and that Chile and South Korea have taken in recent years. Alternatively, a country can take a *multilateral* approach and reduce its trade restrictions while other countries do the same. In other words, it can bargain with its trading partners in an attempt to reduce trade restrictions around the world.

One important example of the multilateral approach is the North American Free Trade Agreement (NAFTA), which in 1993 lowered trade barriers among the United States, Mexico, and Canada. Another is the General Agreement on Tariffs and Trade (GATT), which is a continuing series of negotiations among many of the world's countries with the goal of promoting free trade. The United States helped to found GATT after World War II in response to the high tariffs imposed during the Great Depression of the 1930s. Many economists believe that the high tariffs contributed to the worldwide economic hardship of that period. GATT has successfully reduced the average tariff among member countries from about 40 percent after World War II to about 5 percent today.

The rules established under GATT are now enforced by an international institution called the World Trade Organization (WTO). The WTO was established in 1995 and has its headquarters in Geneva, Switzerland. As of 2018, 164 countries have joined the organization, accounting for more than 97 percent of world trade. The functions of the WTO are to administer trade agreements, provide a forum for negotiations, and handle disputes among member countries.

What are the pros and cons of the multilateral approach to free trade? One advantage is that the multilateral approach has the potential to result in freer trade than a unilateral approach because it can reduce trade restrictions abroad as well as at home. If international negotiations fail, however, the result could be more restricted trade than under a unilateral approach.

In addition, the multilateral approach may have a political advantage. In most markets, producers are fewer and better organized than consumers—and thus wield greater political influence. Reducing the Isolandian tariff on textiles, for example, may be politically difficult if considered by itself. The textile companies would oppose free trade, and the buyers of textiles who would benefit are so numerous that organizing their support would be difficult. Yet suppose that Neighborland promises to reduce its tariff on wheat at the same time that Isoland reduces its tariff on textiles. In this case, the Isolandian wheat farmers, who are also politically powerful, would back the agreement. Thus, the multilateral approach to free trade can sometimes win political support when a unilateral approach cannot.

Ask the Experts

Tariffs and Trade Deals

"Imposing new U.S. tariffs on steel and aluminum will improve Americans' welfare."

A pie chart titled "What do economists say?" plots three values. They are 0% agree, 100% disagree, and 0% uncertain.

"Past major trade deals have benefited most Americans."

A pie chart titled "What do economists say?" plots three values. They are 93% agree, 0% disagree, and 7% uncertain.

"Refusing to liberalize trade unless partner countries adopt new labor or environmental rules is a bad policy, because even if the new standards would reduce distortions on some dimensions, such a policy involves threatening to maintain large distortions in the form of restricted trade."

A pie chart titled “What do economists say?” plots three values. They are 49% agree, 25% disagree, and 26% uncertain.

Source: IGM Economic Experts Panel, March 12, 2018, November 11, 2014, and March 27, 2013.

QuickQuiz

7. Lilliput imports rope from Brobdingnag, where rope producers are subsidized by the government because of their great political clout. The most efficient policy from the standpoint of Lilliput is to

    a. continue trading at the subsidized price.
    b. place a tariff on rope imports to offset the subsidy.
    c. give a similar subsidy to the rope producers of Lilliput.
    d. stop trading with Brobdingnag.

8. The goal of multilateral trade agreements is usually to

    a. equalize the level of tariffs across nations so no nation is disadvantaged relative to others.
    b. use targeted tariffs to ensure that nations produce those goods in which they have a comparative advantage.
    c. reduce tariffs in various nations simultaneously to blunt political pressure for protectionism.
    d. ensure that tariffs are used only to promote infant industries that will eventually become viable.